

Types of warranties

When selling an extended warranty, suppliers should make it very clear exactly what it offers the consumer, over and above the rights they already have under consumer guarantees.

The following warranties are in addition to a consumer's rights under the ACL.

Warranties against defects or a 'manufacturer's warranty'

Suppliers or manufacturers may provide a warranty that promises consumers that:

- goods or services will be free from defects for a certain period of time
- defects will entitle the consumer to repair, replacement, refund or other compensation.

This is called a 'warranty against defects', or a 'manufacturer's warranty'.

Resolve your dispute or complaint

If you are having a dispute with the store or seller, view our [Resolve your problem or complaint section](https://www.consumer.vic.gov.au/contact-us/resolve-your-problem) (<https://www.consumer.vic.gov.au/contact-us/resolve-your-problem>).

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Key points about warranties and consumer guarantees

Consumers have specific rights under the Australian Consumer Law (ACL), regardless of any other warranty provided by the supplier or manufacturer. The ACL guarantees that all goods:

- are of acceptable quality
- match the description, sample or demonstration model
- are fit for their disclosed purpose
- come with clear title, unless otherwise stated
- does not have undisclosed securities
- come with a right to undisturbed possession
- will have spare parts and repairs available for a reasonable amount of time after purchase
- with express warranties, will have those warranties honoured

Consumers are guaranteed that services will be:

- provided with due care and skill
- fit for any disclosed purpose
- completed within a reasonable time.

For more information, view our [Guarantees that apply automatically page \(https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/refunds-repairs-and-returns/guarantees-that-apply-automatically\)](https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/refunds-repairs-and-returns/guarantees-that-apply-automatically).

A consumer can also insist a supplier meets a consumer guarantee, even if the goods are covered by additional warranties.

Case Study

Example only (outcome may differ in individual cases):

Matt buys a television for \$6,000. It stops working two years later. The supplier tells him he has no rights to repairs or another remedy as the television was only covered under the manufacturer's warranty for 12 months.

Even if Matt had purchased an extended warranty, he may still have the right to a remedy under the ACL because a reasonable person would expect a \$6,000 television to last longer than two years. Matt has a statutory right to a remedy on the basis that the television is not of acceptable quality and the supplier must provide a remedy free of charge.

Case Study

Example only (outcome may differ in individual cases):

Nicole buys a deck chair, which the manufacturer says can hold up to 100 kilograms. This is an express warranty about what the goods can do. If a supplier provides a product with an express warranty, they guarantee the goods will satisfy that warranty. An express warranty can be made verbally or in writing by the salesperson.

A warranty against defects must be in writing and:

- be expressed in a transparent way – in plain language, legible and presented clearly
- contain the warrantor's name, business address, phone number and email address (if any)
- set out relevant claim periods or procedures, and
- include a statement that rights under the warranty sit alongside the ACL consumer guarantees, which cannot be excluded.

Failing to meet these criteria may lead to civil and criminal penalties. For more information, view our [General penalties page](https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/business-practices/penalties). (<https://www.consumer.vic.gov.au/consumers-and-businesses/products-and-services/business-practices/penalties>)

Express warranties

Suppliers and manufacturers often make extra promises (sometimes called 'express warranties') about such things as the quality, state, condition, performance or characteristics of goods.

An express warranty is not necessarily about the product breaking; it is about it living up to promises.

Case Study

Example only (outcome may differ in individual cases):

Nicole buys a deck chair that comes with a manufacturer's warranty. The warranty says the manufacturer will replace the deck chair if it breaks within two years of the purchase date.

Express warranty included in a warranty against defects (manufacturer's warranty)

Under the ACL, suppliers (and possibly manufacturers) guarantee that goods will meet any express warranties made.

As outlined above, a warranty against defects differs from an express warranty. A warranty against defects deals with what the manufacturer promises to do when something goes wrong with goods. An 'express warranty' focuses on a promise or promises – for example, about what the goods will look like, will do (or are capable of doing) and for how long.

However, a warranty against defects may also contain an express warranty.

Case Study

Example only (outcome may differ in individual cases):

When Nicole buys a deck chair, the manufacturer's warranty states that the chair can hold up to 100 kilograms. This statement is an express warranty about what the goods can do.

If the chair breaks after a person weighing 50 kilograms sits on it, Nicole can insist that the express warranty contained in the warranty against defects is honoured. If not, she will be entitled to a remedy.

Extended warranties

Before agreeing to pay for an extended warranty, consumers should check that it provides benefits greater than they already have under the ACL.

Some suppliers or manufacturers offer extended warranties, which generally offer a longer period of coverage than the manufacturer's warranty. Usually, consumers are offered the chance to buy an extended warranty after, or at the time, they buy the products.

When selling an extended warranty, suppliers should make it very clear exactly what it offers the consumer, over and above the rights they already have under ACL consumer guarantees.

Some suppliers or manufacturers also tell the consumer an extended warranty provides extra protection, which the consumer would not have unless they buy it. This is not necessarily true. The consumer guarantees provide rights that exist despite anything the supplier or manufacturer may say or do. Extended warranties are optional.

Suppliers must not:

- pressure consumers to buy an extended warranty
- tell a consumer that they must pay for any rights equivalent to a consumer guarantee.

Suppliers also need to be careful not to imply that only an extended warranty will cover problems with a product. Doing so may amount to misleading a consumer about their rights.

Case Study

Example only (outcome may differ in individual cases):

James is buying a new TV for \$6,000. The TV has a one-year manufacturer's warranty. The salesperson persuades James that it would be best to purchase an extended warranty to cover him so that if the TV breaks down after one year he will be covered for the cost of any repairs.

In this situation, the salesperson could be accused of misleading James about his rights.

A reasonable consumer would expect a \$6,000 TV to last longer than one year. Therefore James would be entitled to a remedy free of charge under ACL on the basis that the TV is not of acceptable quality. He does not need an extended warranty to access these rights.

Last updated: 13 October 2023



(<https://www.consumer.vic.gov.au/resources-and-tools/yarrka-barring-resources-for-first-nations-people>)

We acknowledge the Traditional Owners of the lands, seas and skies. We pay our respects to their Elders past and present, and to future generations who will continue to care for Country.



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